

ECONOMIC IDEAS BEFORE ADAM SMITH

Ques:

What is meant by mercantilist thinking in Economics? How did physiocrat make a difference with the mercantilists? Explain.

Ans:

Mercantilism is a system in which a country attempts to gather wealth through trade with other countries exporting more than it imports and increasing stores of gold and precious metals. Its goal is to enrich and empower the nation and state to maximum degree by acquiring and retaining as much as economic activity as possible within the nation's borders.

Mercantilism was the primary economic system trade used from the 16th to 18th century. The mercantilism was popularized in Europe during the 1500s. The earliest phase of mercantilism, usually called bullionism, originated in the period during which Europe was experiencing an acute shortage of gold and silver bullion and hence did not have enough money to service the rapidly expanding volume of trade.

At the heart of mercantilism is the view that maximizing net exports is the best route to national prosperity. Boiled to its essence mercantilism is "bullionism": the idea that only true measure of a country's wealth and success was the amount

of gold that it had. If one had more gold than other, it was necessarily better off. This idea had important consequences for economic policy. The best way of ensuring a country's prosperity was to make few imports and many exports, thereby generating a net inflow of foreign exchange and maximising the country's gold stocks. Accumulating gold was thought to be necessary for a strong, powerful state. Countries such as Britain implemented policies which were designed to protect its traders and maximise income.

Mercantilism replaced the older feudal economic system in western Europe. In mercantilist economy, manufacturing and industry, particularly of goods with military applications was prioritized. Mercantilism sought to ensure the nation produced as much volume and variety of output as possible so as to limit its dependence upon foreign suppliers. Economic autarky was a critical element of mercantilism. These aims were primarily accomplished by —

(i) Imposing high tariffs on the importation of finished goods and imposing low or no taxes on the importation of raw materials or exotic products.

(ii) Imposing low or no taxes on the export of finished goods and imposing high taxes on the exportation of raw materials.

(iii) Seeking new markets for domestic manufactured products, so as to artificially increase the demand for domestic production.

One of the most important types of policies designed to increase the value of exports and decrease that to imports was the creation of trade monopolies.

Physiocracy was a theory of wealth. The physiocrats, led by Quesnay, believed that the wealth of nations was derived solely from the value of agriculture. Karl Marx explains in "Das Kapital", "The physiocrats insist that only agricultural labor is productive." The physiocrats are most commonly known for these simplistic economic ideas.

The physiocrats were a group of French social reformers who were intellectual followers of Francois Quesnay (1694-1774). Most of their ideas came directly or indirectly from Quesnay's Tableau economique. The physiocrats were interested in reforming France, which was experiencing economic and social disorder caused by the worst features of feudalism and merchant capitalism. Taxation was disorderly, ~~inef~~ inefficient, oppressive and unjust.

The physiocrats believed that societies were governed by natural law and that France's problems were due to the

failure of her rulers to understand this natural law and to order production and commerce accordingly. Quesnay developed a simple model of how a society should be structured in order to reflect natural law. On the basis of this model, the physiocrats advocated political reforms: the abolition of guilds and the removal of all existing tariffs, taxes, subsidies, restrictions and regulations that hindered industry and commerce.

The physiocrats influence was primarily intellectual, not political. Some of the ideas expressed in Quesnay's *Tableau économique* were subsequently to become very important in economic literature. There were three topics in which Quesnay's ideas were to have an important impact:

(i) the notion of productive and unproductive labor and the economic surplus.

(ii) the mutual interdependencies of production processes

(iii) the circular flows of money and commodities and the economic crises that can result from hoarding money.

Ques: Write a brief review on early Mercantilist writings and its context. What was the poor law?

Ans:

In the early mercantilist period, most production was carried on by workers who still owned and controlled their own means of production. Capitalists were primarily merchants, and their capital consisted mostly of money and inventories of goods to be sold. Therefore, it was only natural that mercantilist writers looked to exchange, or buying and selling, as the sources of profits.

Early Mercantilist writings and its context:

Profit occurs to merchant capital when the price at which the merchant sells a commodity is sufficiently high to cover the price the merchant pays for the commodity, plus all expenses for handling, storing, transporting and selling the commodity, plus a surplus over and above these costs. This surplus is the merchant's profit. Therefore, an understanding of the determinants of the prices at which commodities were bought and sold was central to an understanding of the merchant's profits.

Earlier medieval thinkers about price:

Earlier medieval thinkers had asserted that the price of a commodity had to be sufficient to cover a craftsman's direct costs of production. In other words, prices were determined by the costs of production, including an imputed, appropriate remuneration for the labor of the craftsmen.

Early mercantilists about price:

The early mercantilists generally abandoned the earlier medieval thinkers' cost-of-production approach to the understanding of prices and focused on the point of sale to analyze exchange values. One scholar of mercantilist ideas has concluded that, despite a wide range of differences on specific issues, three important notions run through most early mercantilist writings on value theory:

First, the 'value' or 'natural value' of commodities was simply their actual market price.

Second, the forces of supply and demand determined market value.

Third, mercantilist writers frequently discussed "intrinsic value" or use value as most important factor determining demand, and hence, as an important causal determinant of market value.

Nicholas Barbon, one of the most important of the mercantilist writers, summed up these three points in his pamphlet, *A Discourse on trade*. Barbon's pamphlet was written at a time during which economic attitudes were beginning to rapid change and mercantilist saw profits. Their profits came largely from two sources:

(i) the inflation of the sixteenth and seventeenth centuries had created a situation in which there was

generally a substantial appreciation of the value of the inventories held : Between the time at which the merchants purchased commodities and the time at which the merchants sold them, the increases in the prices of these commodities resulted in windfall profits.

(ii) the differing conditions under which production took place in various regions of a country or various parts of the world, combined with the fact that there was very little mobility of resources, technology and labor between these regions, resulted in substantially different relative prices of commodities in the various regions or countries. Merchants would buy a commodity in a region or country in which it was relatively inexpensive and sell it in a region or country in which it was relatively expensive.

Under these conditions, it is not surprising that merchants should have conceived of the value of a commodity in terms of its market price rather than its conditions of production. Moreover, it was only natural for them to see differences in market prices as resulting from differences in the willingness or desire to purchase particular commodities. Supply entered the picture only to the extent that the merchants saw that with a given level of desire to purchase a commodity, the price of a commodity was in short supply and low if its supply was abundant. It was for this reason that the large merchant companies sought state-created and enforced monopolies.

It appeared to the early mercantilists that control over the conditions affecting the supply of commodities was the principal means by which high profits could be attained and perpetuated. But the early mercantilist period had not yet experienced the change in social attitudes that was later to condone and justify the ceaseless quest for profits simply for the sake of profits. Governments' motivations and rationalisations for their policies of promoting merchant profits were very different from those motivations and rationalizations that were to become characteristic of capitalist governments beginning in the nineteenth until the present time.

In the early mercantilist period, there was an ideological continuity between the intellectual defences of mercantilist policies and the earlier ideologies that supported the medieval economic order. The latter relied on a ~~Christian~~ Christian paternalist ethic that justified extreme inequalities of wealth on the assumption that God had selected the wealthy to be the benevolent stewards of the material welfare of the masses. The Catholic Church had been the institution through which this paternalism was effectively effectuated. As capitalism developed, the church grew weaker and the governments of the emerging nation-state grew stronger. In the early mercantilist period, economic writers increasingly came to substitute the state for the medieval church as the

institution that should oversee the public welfare.

The people could no longer look to the catholic Church for relief from widespread unemployment and poverty. Destruction of the power of the church had eliminated the organised system of charity, and the state attempted to assume responsibility for the general welfare of society.

In fact, it appears that the desire to achieve full employment is the unifying theme of most policy measures advocated by mercantilist writers. The mercantilists preferred measures designed to stimulate foreign rather than domestic trade. "because they believe it contributed more to employment, to nation's wealth and to national power. The writer after 1600 stressed the inflationary effect of an excess of exports over imports and the consequent increase in employment which inflation produced."

Among the other measures taken to encourage industry during this period was the ~~issue~~ issuance of patents of monopoly. The first important patent was granted in 1561, during the reign of Elizabeth I. Monopoly rights were given in order to encourage inventions and to establish new industries.

Poor Law :

Poor law was passed in 1531 and 1536 attempted to deal with the problems of unemployment, poverty and misery then widespread in England. The first sought to distinguish between "deserving" and "undeserving" poor; only the ~~des~~ deserving poor were allowed to beg. The second decreed that each individual parish throughout England was responsible for its poor and that the parish should, through voluntary contributions, maintain a

poor fund. This ~~period~~ proved completely inadequate and the pauper problem grew increasingly ~~severe~~ severe.

Finally, in 1572, the state accepted the principle that the poor would have to be supported by tax funds and enacted a compulsory "poor rate". And in 1576, "house of correction" for "incorrigible vagrants" were authorized and provisions made for the parish to purchase raw materials to be processed by the more tractable paupers and vagrants. Between that time and the close of the sixteen century, several other poor-law statutes were passed.

The Poor law of 1601, was the Tudor attempt to integrate these laws into one consistent framework. Its main provisions included formal recognition of the right of the poor to receive relief, imposition of compulsory poor rates at the parish level and provision for differential treatment for various classes of the poor. The aged and the sick could receive help in their homes; pauper children who were to be boarded out; the deserving poor and ~~unemployment~~ unemployed were to be given work as provided for in the act of 1576 and incorrigible vagrants were to be sent to houses of correction and prisons.

The various statutes passed during this period were predicated upon the idea that poverty, instead of being a personal sin, was a function of the economic system. These statutes acknowledges that those who were the victims of the deficiencies of the economic system should be cared for by those who benefited from it.